Why did Nokia fail and what can you learn from it?

Nokia’s business timeline:

- In October 1998, Nokia became the best-selling mobile phone brand in the world;
- Nokia’s operating profit went from $1 billion in 1995 to almost $4 billion by 1999;
- The best-selling mobile phone of all time, the Nokia 1100, was created in 2003;
- In 2007, Apple introduced the iPhone;
- By the end of 2007, half of all smartphones sold in the world were Nokias, while Apple’s iPhone had a mere 5 percent share of the global market;
- In 2010 Nokia launched the “iPhone killer” but failed to match the competition;
- In 2016, Nokia’s market value declined by about 90%;

In order to understand its rapid downfall from its position as a world-dominant and innovative technology organization, researchers conducted a qualitative study, consisting of interviewing 76 Nokia top and middle managers, engineers and external experts.

Here are the results:

Nokia’s culture of status has led to an atmosphere of shared fear which influenced how employees were interacting with each other. Top executives were afraid of losing investors, suppliers and customers if they acknowledged their technological inferiority to Apple, while top managers intimidated middle managers by accusing them of not being ambitious enough to meet their goals.

The human factor was added to economic and structural factors and together they have generated a state of “temporal myopia” that hindered Nokia’s ability to innovate. Instead of allocating resources to the achievement of long-term goals such as developing a new operating system, Nokia management decided to develop new phone devices for short-term market demands.

Employees stated that top managers and directors were no longer abiding by Nokia’s core values of Respect, Challenge, Achievement and Renewal. This study points out the paramount importance of shared emotions among employees and their powerful impact on company's competitiveness.

What can we learn from it?

In a world dominated by digital transformation, leaders should understand that operating with the old mindset willnot help their companies face customer behavior changes or new types of competition — more aggressive andmore diverse.

- Having the power of constantly challenging the status quo will allow leaders and their organization to embrace a culture of change;
- Collaborative leadership style will be mandatory, the policy of closed doors will die quickly — innovation process should be encouraged at all levels but for this leaders have to learn again how to properly listen to their customers, partners and employees;
- Before being able to understand their employees' emotions, leaders will have to become more mindful. Emotional intelligence in action will not be just a competence nice to have — will become mandatory especially when at the decision table leaders will have a mix of generations including Millennials and Z;
- In the end, leaders should master the power of taking responsibilities for bad decisions, failed innovation,lost market share despite the danger of losing their status, role, bonuses. Learning fast from failures or from other companies' failures will help leaders repair, minimize risks & damages and design better services & products.

Adapted from: https://medium.com/multiplier-magazine/why-did-nokia-fail-81110d981787

Discussion:

1. According to the article, what are the main reasons that led Nokia to failure? What do you thinkcompanies could do to avoid such a consequence?

2. How important is effective leadership for a successful organization? What would you do to improve itin your company?